

Section A: Provide Brief Answers to the following (3 pts each)

1. List three attributes of successful companies.
2. Briefly distinguish between a sole proprietorship and a corporation
3. What do you think is the primary objective of a corporation
4. In a cash flow statement state if each of this is operational, investment or financial, and cash inflow or outflow.
 - a. Purchase of machinery
 - b. Selling of inventory
 - c. Paying interest on a loan
5. Arrange the following in decreasing order of claim on the company's asset: stock holders, bond holders and preferred stock holders

Section B. Show detail working on your answer sheet.

1. In the table that follows, complete the balance sheet and sales information for company CamPhone using the following data. (18 pts). (Use 365 days where applicable)

Debt ratio = 50%; Quick ratio = 0.80 X; Total asset turnover = 1.5 X; Days sales outstanding = 36.5 days; Gross profit on sales: $(\text{Sales} - \text{Cost of goods sold}) / \text{Sales} = 25\%$; Inventory turnover = 5 X;

(NB: X after the number just means times e.g. 2 X means the 2 times or just 2 in simple math)

Balance sheet (redraw the table and fill it out)

Assets (FCFA)		Liability and Equity (FCFA)	
Cash		Account Payable	
Account receivable		Long-term debt	30,000,000
✓ Inventories		Common stock	
✓ Fixed assets		Retained earnings	
Total Asset	150,000,000	Total Liability and Equity ✓	15
✓ Sales		Cost of good sold ✓	

2. Assume you are giving the following relationship for a company name T corporation
 $\text{Sales} / \text{total Asset} = 2 \text{ X}$, $\text{return on assets (ROA)} = 5\%$, $\text{Return on equity (ROE)} = 8\%$
 Calculate company T's profit margin and debt ratio. (7 pts)